Limuru Tea Plc

P. O. BOX 20-20200,
Kericho, Kenya
Telephone: 0722307394/5

ANNOUNCEMENT OF AUDITED RESULTS FOR THE YEAR ENDED 31ST DECEMBER 2022.

The Board of Directors is pleased to announce the company's audited results for the year ended 31st December 2022.

STATEMENT OF FINANCIAL POSITION		
	As at 31 December 2022	As at 31 December 2021
	KShs'000	KShs'000
EQUITY		
Share capital	24,000	24,000
Retained earnings	164,187	158,290
Proposed dividend	6,000	-
Total equity	**194,187**	**182,290**
Non-current liabilities		
Post-employment benefit obligations	17,938	16,480
Deferred income tax liability	330	-
Total non-current liabilities	**18,268**	**16,480**
	212,455	**198,770**
REPRESENTED BY:		
Non-current assets		
Property, Plant and Equipment	86,452	90,008
Biological assets – fuel trees	5,293	2,737
Deferred Tax Asset	-	1,898
Total non-current assets	**91,745**	**94,643**
Current assets		
Biological asset - green leaf	5,086	2,951
Current income tax recoverable	9,051	7,699
Receivables and prepayments	123,432	102,844
Cash and cash equivalents	271	364
Total current assets	**137,840**	**113,858**
Current liabilities		
Payables and accrued expenses	16,341	9,731
Post-employment benefit obligations	789	-
Total current liabilities	17,130	9,731
Net current assets	**120,710**	**104,127**
	212,455	**198,770**

CONDENSED STATEMENT OF CASH FLOWS		
	As at 31 December 2022 KShs'000	As at 31 December 2021 KShs'000
Net cash (used)/from operating activities	(93)	2,930
Net cash used in investing activities	-	**(2,873)**
(Decrease)/increase in cash and cash equivalents	(93)	57
Movement in cash and cash equivalents		
At start of interim period	364	307
(Decrease)/increase during the period	**(93)**	**57**
At end of June	**271**	**364**

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CONDENSED STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

	As at 31 December 2022	As at 31 December 2021
	KShs'000	KShs'000
Turnover	122,937	84,269
Profit/(loss) before income tax	16,290	(14,198)
Income tax (charge)/credit	(4,945)	4,643
Profit/(loss) attributable to the shareholders	**11,345**	**(9,555)**
Authorized, Issued and fully paid shares of KShs 10 each	**2,400,000**	**2,400,000**
Earnings per share (KShs)	**4.73**	**(3.98)**

CONDENSED STATEMENT OF CHANGES IN EQUITY

	Share Capital KShs'000	Retained Earnings KShs'000	Proposed Dividend KShs'000	Total KShs'000
Balance at 1 January 2021	**24,000**	**166,781**	**-**	**190,781**
Total recognized loss to December 2021	-	(9,555)	-	(9,555)
Actuarial gain on post-employment benefit obligation net of tax	-	1,064	-	1,064
Balance as at 31st December 2021	**24,000**	**158,290**	**-**	**182,290**
Balance at 1 January 2022	**24,000**	**158,290**	**-**	**182,290**
Total recognized profit for 2022	-	11,345	-	11,345
Actuarial gain on post-employment benefit obligation net of tax	-	552	-	552
Dividends				
Proposed dividend for 2022	-	(6,000)	6,000	-
Balance as at 31st December 2022	**24,000**	**164,187**	**6,000**	**194,187**

The above extract is based on the financial statements of Limuru Tea PLC for the year ended 31 December 2022 as audited by KPMG Kenya.

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COMMENTARY

Performance

In the year 2022, total revenues increased by 46% to Kes 123 million in the period compared to Kes 84 million realised in 2021. This increase in 2022 was driven by the continuous improvement of tea quality, favourable black tea market prices and the positive net foreign exchange impact.

The Company produced 3,005 tons of green leaf, which in turn was manufactured into 715 tons of black tea. This was a 4% decrease in made tea volumes compared to 2021 attributed to unfavorable weather conditions in the year under review.

The Company posted a pre-tax profit of Kes 16.3 million in 2022 compared to a pre-tax loss of Kes 14.2 million in 2021. This improvement in performance was driven by quality improvement, higher market prices and positive net foreign exchange impact compared to 2021. General inflation on key material costs pushed up the cost significantly but management deployed cost efficiency measures to mitigate the impact.

Dividend

Board of Directors recommend a dividend of KShs 2.50/= per ordinary share for the year ended 31st December 2022, payable net of withholding tax on or about 30 June 2023, to shareholders on the register at the close of business on 14th April 2023.

Prospects

Despite the first quarter of year 2023 experiencing relatively lower rainfall negatively impacting production, management continues with cost containment measures and quality improvement initiatives to drive steady performance building on the performance recorded in 2022.
General inflation of key inputs remains a risk to the cost of production. Strategic actions will continue to be undertaken to mitigate the impact.

Ms. Dorcas Muli

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Dorcas Muli
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CHAIRPERSON
24th March 2023